

India Ratings Affirms Entero Healthcare Solutions at 'IND A-/Stable

Dec 03, 2025 | Entero Healthcare Solutions Limited (Earlier Entero Healthcare Solutions Private Limited) | Pharmaceuticals

India Ratings and Research (Ind-Ra) has affirmed Entero Healthcare Solutions Limited's (Entero) Long-Term Issuer Rating as follows:

Details of Instruments

Instrument Type	Date of Issuance	Coupon Rate	Maturity Date	Size of Issue (million)	Rating assigned along with Outlook/Watch	Rating Action
Issuer rating	-	-	-	-	IND A-/Stable	Affirmed

We use cookies to enhance your browsing experience. By continuing to browse this site, you agree to our cookie policy.

Analytical Approach

Accept

Ind-Ra continues to fully consolidate Entero and [its subsidiaries](#), together referred to as the Entero group to arrive at the rating, on account of the strong legal, operational, and strategic linkages among them.

Detailed Rationale of the Rating Action

The affirmation reflects continued strong growth in Entero group's scale of operations in FY25 and 1HFY26, owing to the acquisitions leading to an increase in stock keeping units and warehouses, further leading to an improvement in financial performance in line with Ind-Ra's expectation. Ind-Ra expects further growth in the group's scale of operations in FY26 and over the medium term, backed by multiple acquisitions by the company with the help of unutilised amounts from the initial public offering (IPO) proceeds and its business profits. The continued expansion into newer geographies strengthening its pan-India presence and growth in customer and product portfolio during the year also support the rating.

The rating is, however, constrained by the inherent limitations of distributorship and the inherent risks of the pharmaceuticals industry. The negative free cash flows since inception, and the group's brief track record of operations also constrain the rating. However, the management expects the free cash flow to turn positive from end-FY26.

List of Key Rating Drivers

Strengths

- Pan India Presence; further diversification of customer and product portfolio
- Favourable industry outlook

- Group likely to raise debt in the near term
- Significant growth in scale of operations; growth likely to continue in the medium term
- Improvement in operating profitability; further improvement likely in the medium term

Weaknesses

- Future acquisitions not yielding desired results could impact profitability
- Exposure to inherent risks in the pharmaceuticals segment
- Brief operational track record

Detailed Description of Key Rating Drivers

Pan-India Presence; Further Diversification of Customer and Product Portfolio: Entero group has a wide and growing presence in India. In 1HFY26, the pharmaceuticals distributor group supplied pharmaceutical products, medical equipment, and surgical consumables to more than 490 districts through 113 warehouses located in 47 cities across 20 states and union territories of India. The group's customer portfolio spanned more than 85,300 retail pharmacies and over 2,800 hospital customers in 1HFY26, including associations with recognised hospitals and hospital brands in the country. The group has established relationships with more than 2,800 healthcare product manufacturers and partnerships with reputed labels; it has access to more than 83,000 stock keeping units to back its growing clientele.

Favourable Industry Outlook: The pharmaceutical distribution segment in India is extremely fragmented with no clear market leader. The industry is dominated by the traditional, unorganised players at the local and regional level. The market share of large and national-level distributors, although growing, is limited at present. However, there is a growing trend towards market consolidation and a huge scope for growth in the market share of large players with the need for a technology-driven and integrated distribution network. In terms of revenue, Entero group is among the largest pharmaceutical distributors in India and stands to benefit from its market consolidation strategy with the rising favourable environment for bigger players in the segment.

Group Likely to Raise Debt in the Near Term: With the completion of IPO in FY24 and most of the funds used for acquisitions and working capital in FY25 and 1HFY26, Ind-Ra expects Entero group's credit metrics to remain comfortable with the gross coverage (operating EBITDA/gross interest expense) exceeding 4.0x and the net leverage (Ind-Ra adjusted net debt/operating EBITDAR) remaining below 2.0x in the medium term. The group raised INR10,000 million in February 2024 from a fresh issue of shares, of which around INR502 million remained unutilised at 1HFYE26. Out of INR10,000 million, INR4,687 million was utilised for working capital purposes, INR2,370 million for acquisitions, INR1,425 million for term loan repayments and INR818 million for general purposes. As most of the IPO proceeds are utilised and future acquisitions may be funded through business profits, Entero may go for additional working capital facilities to support its day-to-day requirements. The overall debt including lease liabilities increased to INR4,426 million in 1HFY26 (FY25: INR3,852 million), due to an increase in working capital debt. However, irrespective of the increase in total debt, the agency expects the group's net leverage to remain below 2.0x in the medium term, on the back of profitability. In FY25, Entero group's interest coverage remained modest despite improving to 4.1x (FY24: 1.7x), on account of lower interest costs of INR416 million (INR657 million), mainly owing to repayment of long-term loans.

Significant Growth in Scale of Operations; Growth Likely to Continue in the Medium Term: The Entero group's revenue grew at a CAGR of above 30% over FY19-FY25 with continued organic revenue growth and inorganic growth from the acquisition of new entities. In FY25, the group's revenue increased to INR50,958 million (FY24: INR39,223 million) owing to the acquisition of eight new subsidiaries, increasing its total size to 45 entities including Entero. Led by the topline growth, the group's EBITDA, too, increased significantly to INR1,715 million in FY25 (FY24: INR1,118 million). With the IPO proceeds at the management's disposal, Ind-Ra expects the scale of operations to continue to grow in the medium term, led by continued organic growth and further expansion through acquisitions planned by the management. The Entero group's reported revenue and EBITDA of INR29,748 million and INR1,121 million in 1HFY26, respectively.

Improvement in Operating Profitability; Further Improvement Likely in the Medium term: The group's EBITDA margin improved to 3.4% in FY25 (FY24: 2.9%) due to improved operational efficiencies and an increase in its gross margin to 9.5% (9%). The gross margin improvement was backed by the increase in high-margin non-pharmaceutical products into the product mix. The management expects the EBITDA margin to increase further by 50-75 bps over the

medium term with further growth in the scale of operations. Ind-Ra expects a further rise in the gross margin, which has expanded to 10% in 1HFY26, and the higher absorption of the operating fixed costs to facilitate a further improvement in the EBITDA margin over the medium term.

Future Acquisitions not Yielding Desired Results could Impact Profitability: Entero acquires distributors in strategic locations throughout India as a part of its growth strategy to expand its business and customer portfolio. The management has planned acquisitions in FY26 and the medium term to utilise a part of the remaining IPO proceeds, which is likely to facilitate further growth in the group's scale of operations and geographic presence. However, the acquisitions not yielding the desired results and meeting the targets set out by the management could impact the profitability and lead to lower-than-Ind-Ra-expected growth in the EBITDA margin, impacting the free cash flows further in the near-to-medium term. Nevertheless, historically, the management's acquisition strategy has yielded positive results.

Exposed to Inherent Risks in the Pharmaceuticals Segment: Entero group is exposed to the risks inherent in the healthcare business such as the risk of financial loss and the loss of reputation due to the distribution of expired, unsafe, damaged, defective, or ineffective products. Although Entero does not manufacture the products it sells, it bears the risks from negative customer perception as the group promotes and distributes these products. Furthermore, a small proportion of Entero's revenue also comes from products manufactured under its private label, wherein the risks may exist.

Brief Operational Track Record: Entero was established in 2018 and has a track record of less than a decade in the pharmaceutical distribution business. However, this risk is mitigated by the experience of one of its promoters, Prabhat Agarwal, who served as the Chief Executive Officer of one of the leading pharmaceutical manufacturers, in the pharmaceutical industry.

Liquidity

Adequate: Entero group had unencumbered cash and cash equivalents of INR2,593 million at FYE25 (FYE24: INR7,913 million; FYE23: INR254 million) backed by the unutilised IPO proceeds. Although Entero did not avail any working capital financing from banks, its subsidiaries avail working capital facilities. The group's consolidated average peak utilisation of its fund-based working capital limits for the 12 months ended September 2025 was 63%. The group's current ratio improved significantly to 2.6x in FY25 (FY24: 3.4x). There are no debt repayment obligations as there are no term loans, except payment of leases. Ind-Ra believes Entero has adequate liquidity to meet its debt-servicing obligations in the medium term.

Entero group's cash flow from operations has been negative since the first full year of its operations in FY19 due to the intense working capital requirement and modest yield nature of its business. The net cash flow from operations remained negative at INR769 million in FY25 (FY24: negative INR366 million) due to the increase in working capital requirement with growth in the scale of operations. The management expects the cash flow from operations to turn positive by the end of FY26. The group's net working capital cycle on sales basis marginally elongated to 78 days in FY25 (FY24: 75 days) but remained in line with the peers in the pharmaceutical distribution segment. The cash flow from operations and free cash flow are likely to remain negative, in the agency's view, in the near term. However, the reduction in the goods and services tax rates to 5% in September 2025 from 12%, and management's cost-efficient strategies may turn the operating cashflows positive by end-FY26.

Rating Sensitivities

Positive: A further improvement in the consolidated scale of operations and profitability, maintaining of adequate liquidity position with the cashflow from operations turning positive, and the interest coverage rising above 4.0x, all on a sustained basis will be positive for the ratings.

Negative: A significant decline in the consolidated scale of operations, significant deterioration in the liquidity, or the interest coverage remaining below 3.0x, all on a sustained basis, will be negative for the ratings.

Any Other Information

Standalone Performance: Entero earned a standalone revenue of INR4,087 million during FY25 (FY24: INR3,182 million). The EBITDA stood at negative INR303 million in FY25 (FY24: negative INR345 million), as majority of the corporate expenses are booked under this parent entity. Entero's net leverage stood at 4.5x in FY25 (FY24: 2.2x), owing to sufficient cash and interest coverage was negative due to EBITDA losses in FY24 and FY25.

About the Company

Established in 2018 by Prabhat Agarwal and Prem Sethi, Entero is a supply-chain partner and aggregator for pharmaceutical products, medical equipment, and surgical consumables. Entero is a large group and consists of 45 entities at FYE25, having presence throughout India. The company went public in FY24 and got listed on the exchange in February 2024.

Key Financial Indicators

Particulars (Consolidated)	FY25	FY24
Revenue (INR million)	50,958	39,223
EBITDAR (INR million)	1,715	1,118
EBITDAR margin (%)	3.4	2.9
Gross interest coverage (x)	4.1	1.7
Net leverage (x)	0.7	NM
Source: Entero; Ind-Ra n.m: not meaningful		

We use cookies to enhance your browsing experience. By continuing to browse this site, you agree to our cookie policy.

Status of Non-Cooperation with previous rating agency

Not applicable

Rating History

Instrument Type	Rating Type	Rated Limits (million)	Current Rating/Outlook	Historical Rating/Outlook		
				9 September 2024	3 August 2023	9 May 2022
Issuer rating	Long-term	-	IND A-/Stable	IND A-/Stable	IND BBB/Stable	IND BBB/Stable
Term loans	Long-term	INR750	-	WD	IND BBB/Stable	-

Complexity Level of the Instruments

Not applicable

Contact

Primary Analyst

Mitali Dalvi

Analyst

India Ratings and Research Pvt Ltd

Wockhardt Towers, 4th Floor, West Wing, Bandra Kurla Complex, Bandra East, Mumbai - 400051

022 40356133

For queries, please contact: infogrp@indiaratings.co.in

Secondary Analyst

Shashikala Hegde

Senior Analyst

+91 22 40356139

Media Relation

Ameya Bodkhe

Marketing Manager

+91 22 40356121

About India Ratings

India Ratings and Research (Ind-Ra) is India's SEBI registered credit rating agency committed to providing India's credit markets accurate, timely, and prospective credit opinions. Built on a foundation of independent thinking, rigorous analytics, and an open and balanced approach towards credit research, Ind-Ra has grown rapidly during the past decade, gaining significant market presence in India's fixed income market.

Ind-Ra currently maintains coverage of corporate issuers, financial institutions (including banks and insurance companies), finance companies, urban local bodies, and structured finance and project finance companies.

Headquartered in Mumbai, Ind-Ra has seven branch offices located in Ahmedabad, Bengaluru, Chennai, Gurugram, Hyderabad, Kolkata, and Pune. Ind-Ra is recognised by the Securities and Exchange Board of India and the Reserve Bank of India.

Ind-Ra is a 100% owned subsidiary of the Fitch Group.

Solicitation Disclosures

Additional information is available at www.indiaratings.co.in. The ratings above were solicited by the issuer, and therefore, India Ratings has been compensated for the provision of the ratings.

Ratings are not a recommendation or suggestion, directly or indirectly, to you or any other person, to buy, sell, make or hold any investment, loan or security or to undertake any investment strategy with respect to any investment, loan or security or any issuer.

We use cookies to enhance your browsing experience. By continuing to browse this site, you agree to our cookie policy.

APPLICABLE CRITERIA AND POLICIES

Evaluating Corporate Governance

Corporate Rating Methodology

The Rating Process

DISCLAIMER

ALL CREDIT RATINGS ASSIGNED BY INDIA RATINGS ARE SUBJECT TO CERTAIN LIMITATIONS AND DISCLAIMERS. PLEASE READ THESE LIMITATIONS AND DISCLAIMERS BY FOLLOWING THIS LINK: <https://www.indiaratings.co.in/ratingdefinitions>. IN ADDITION, RATING DEFINITIONS AND THE TERMS OF USE OF SUCH RATINGS ARE AVAILABLE ON THE AGENCY'S PUBLIC WEBSITE WWW.INDIARATINGS.CO.IN. PUBLISHED RATINGS, CRITERIA, AND METHODOLOGIES ARE AVAILABLE FROM THIS SITE AT ALL TIMES. INDIA RATINGS' CODE OF CONDUCT, CONFIDENTIALITY, CONFLICTS OF INTEREST, AFFILIATE FIREWALL, COMPLIANCE, AND OTHER RELEVANT POLICIES AND PROCEDURES ARE ALSO AVAILABLE FROM THE CODE OF CONDUCT SECTION OF THIS SITE.